

Labour Codes for easier hiring and retrenchment, and plug & play industrial parks. Make in India 2.0 now focusses on 27 sectors, including 24 sub-sectors such as furniture, air-conditioners, leather and footwear, auto components, aluminium, electronics, agro-chemicals, robotics, televisions, close circuit cameras, toys, drones, medical devices and sporting devices, among others.

Recently, Finance Minister Nirmala Sitharaman announced tax sops to boost contract manufacturing, electronics and data centres, all of which are turning into the new growth and employment drivers.

WINDS OF CHANGE?

Some of these measures have had an impact. India is now the world's second-largest mobile phone manufacturer with at least one in four such devices being made in the country. This was highlighted in a recent official release, which noted that over the last 11 years, electronics production has increased seven-fold, electronics exports 11-fold, mobile phone production 32-fold and mobile phone exports 165-fold. India is also making inroads into the semiconductor supply chain; 12 semiconductor projects have been approved across six states.

At the national level, data for FY26 shows that manufacturing saw an upswing despite the US tariffs on the back of measures undertaken by the government to boost domestic consumption. (See *Winds of Change*).

Gross value added in manufacturing registered nearly 11% growth last fiscal. Exports too are on an upward trajectory with merchandise exports closing FY26 at a record \$441.8 billion and remaining robust this fiscal despite the West Asia war and blockage of the Strait of Hormuz. India's free trade agreements are also expected to give a boost to goods exports; the potential from the deals



“While there have been serious attempts at deregulation in the last one year, we are yet to see a turnaround in private investments”

SANJAY KATHURIA

VISITING SENIOR FELLOW,
CENTRE FOR SOCIAL AND
ECONOMIC PROGRESS



“India has the capacity to grow the manufacturing sector at 12% consistently over the next 25 years”

SP SHARMA

CHIEF ECONOMIST,
ASSOCHAM



“We need to improve competitiveness. We have done capital market & labour reforms, but land reforms are still in the nascent stage”

NR BHANUMURTHY

DIRECTOR, MADRAS SCHOOL
OF ECONOMICS

with the UK and the European Union are seen to be substantial.

Amid these developments, BT decided to look beyond the obvious numbers to assess the developments in manufacturing on the ground and study trends at the macro and micro level across the government and the private sector, both listed and unlisted firms.

Over the last six months, we crunched data from the Annual Survey of Industries, the Reserve Bank of India and the department of commerce to understand state-wise trends in production, exports and factory jobs among various parameters. We also worked with external partners, including How India Lives and Deloitte, to further gauge what's happening in districts where actual factories are based and companies that are working in manufacturing. The results are truly surprising and point to what is possible over the next two decades if these trends continue and expand into other sectors (See *Pockets of Growth Across States, Industries, Sectors*).

States are increasingly competing for private investment and new states are in the running to become factory hubs while others like Tamil Nadu still hold the distinction of being home to the largest number of factories and creating most jobs in the sector. A blended scorecard of states, designed and developed internally across various parameters, shows that Gujarat is the country's top manufacturing state, followed by Uttar Pradesh, with Tamil Nadu in the third rank.

Among 11 hilly states, Uttarakhand has the highest number of workers, invested capital, and contribution of manufacturing in the state economy. It also recorded 143% growth in GSDP from construction over the past 10 years.

More states are coming up with